All this reinforces Graham’s warning that you must treat speculation as veteran gamblers treat their trips to the casino:

- You must never delude yourself into thinking that you’re investing when you’re speculating.
- Speculating becomes mortally dangerous the moment you begin to take it seriously.
- You must put strict limits on the amount you are willing to wager.

Just as sensible gamblers take, say, $100 down to the casino floor and leave the rest of their money locked in the safe in their hotel room, the intelligent investor designates a tiny portion of her total portfolio as a “mad money” account. For most of us, 10% of our overall wealth is the maximum permissible amount to put at speculative risk. *Never* mingle the money in your speculative account with what’s in your investment accounts; *never* allow your speculative thinking to spill over into your investing activities; and *never* put more than 10% of your assets into your mad money account, no matter what happens.

For better or worse, the gambling instinct is part of human nature—so it’s futile for most people even to try suppressing it. But you must confine and restrain it. That’s the single best way to make sure you will never fool yourself into confusing speculation with investment.